

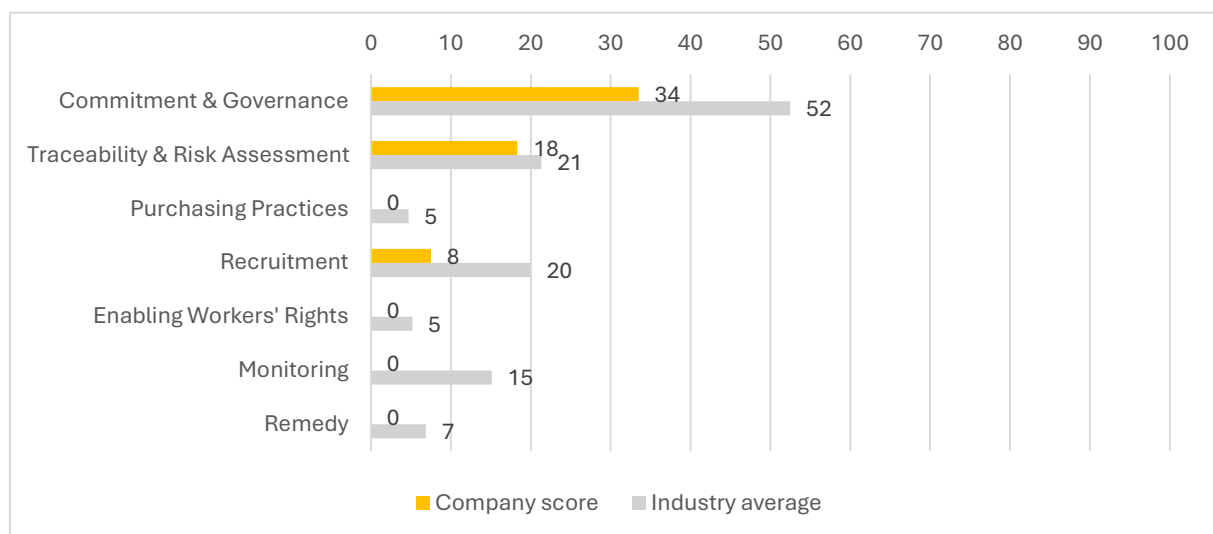
Microchip Technology Inc. (Microchip)

TICKER
MCHP

MARKET CAPITALISATION
US\$48.2 billion

HEADQUARTERS
United States

DISCLOSURES
UK Modern Slavery Act: [Yes](#)
California Transparency in Supply Chains Act: [Yes](#)
Australia Modern Slavery Act: Not applicable

OVERALL RANKING
31 out of 45
[2022 Rank:](#) 28 out of 60¹
OVERALL SCORE
11 out of 100
THEME-LEVEL SCORES

KEY DATA POINTS
FIRST-TIER SUPPLIER LIST
 No

RISK ASSESSMENT

Yes

ENGAGED WITH KNOWTHECHAIN²

Yes

NO-FEE POLICY

Yes (Employer Pays Principle)

REMEDY FOR SUPPLY CHAIN WORKERS
 No

HIGH-RISK SOURCING COUNTRIES³
 Not disclosed

SUMMARY

Microchip Technology Inc. (Microchip), a semiconductor company that supplies to companies including Cisco and Nokia, ranks joint 31st out of 45 companies. Compared to 2022, the company does not seem to have taken steps to strengthen its performance and disclosure on forced labour issues within its supply chain. As such, its score dropped by three points. The company's score is based on its disclosure across the themes of Commitment & Governance, Traceability & Risk Assessment and Recruitment. The company scores zero across other themes. KnowTheChain identified one allegation of forced labour in the company's supply chains. While the company discloses "conducting an outreach to remove [those entities] from our supply chain", it does not disclose the steps it has taken to address the risks of alleged Uyghur forced labour across raw materials and supply chain tiers. The company is encouraged to improve its performance and disclosure on themes including Purchasing Practices, Enabling Workers' Rights, and Remedy.

LEADING PRACTICES

None.

OPPORTUNITIES FOR IMPROVEMENT

Purchasing Practices: To address forced labour risks in its supply chains, the company is encouraged to adopt purchasing practices that decrease the risk of forced labour, such as improving planning and forecasting and prompt payment, and disclose quantitative data evidencing the implementation of responsible purchasing practices. The company is further encouraged to take steps to ensure that pricing includes the full cost of production, including a living wage/income, and may consider ring-fencing labour costs such that they are not impacted during pricing negotiations. The company should consider integrating [responsible buying practices in its contracts](#) with suppliers, to ensure that the responsibility for respecting human rights is shared.

Enabling Workers' Rights: While the company publishes several grievance channels, it is unclear whether they are intended for supply chain workers and their representatives to report labour rights issues, and the company does not outline how they are communicated to supply chain workers. As such, the company may consider strengthening developing or strengthening a formal and effective mechanism to report grievances regarding labour conditions is available and communicated to its suppliers' workers and relevant stakeholders, such as worker organisations or labour NGOs. Further, the company is encouraged to take steps to ensure that workers in its supply chains are able to exercise their rights to freedom of association and collective bargaining.

Remedy: The company may consider establishing a process to ensure that remedy is provided to workers in its supply chains in cases of forced labour and disclosing details on this process, such as responsible parties, approval procedures, timeframes, and, crucially, engagement with affected stakeholders. To demonstrate to its stakeholders that it has an effective remedy process in place, the company is encouraged to disclose examples of remedy provided to its suppliers' workers including with respect to specific allegations in its supply chains.

¹ The number of companies assessed in the ranking has decreased from 60 in 2022 to 45 in 2025.

² Research conducted through September 2024 or through December 2024, where companies provided additional disclosure or links. For more information, see the full dataset [here](#). For information on a company's positive and negative human rights impact, see the Business & Human Rights Resource Centre [website](#).

³ For further details on high-risk raw materials and sourcing countries, see KnowTheChain's [2025 ICT benchmark findings report](#).